

THE COST OF WAR



The crude oil price shock is expected to lower growth, and result in a higher inflation rate



Falling rupee and volatile markets are keeping investors away, and capex plans have been put on hold



Businesses are looking for government support to cushion the impact of supply shocks and lower orders



The Centre is planning a calibrated, sectors-specific strategy to address the challenges



Businesses feel the impact of the war will linger as oil and gas production has been hit

ernment, including a proposed Emergency Credit Line Guarantee Scheme dispensation on the lines of the one extended during the Covid-19 pandemic, as well as a longer timeframe in government supply tenders.

The BCI asked companies several pointed questions on how the war is impacting their plans and strategies for Q1 as well as the year ahead. While they are currently busy navigating the disruptions from the war, they remain watchful before finalising any plans for capital expenditure or diversification.

Most businesses that participated in the survey faced problems in operations due to energy constraints and supply chains for inputs due to the war.

To a question on whether energy availability affected their operations in March and April, 45% respondents said there was a mild impact with manageable adjustments, but 23% reported severe disruptions that led to production cuts and impacted their workforce,

and 21% said they faced moderate disruptions. Only 11% said they were not impacted.

Similarly, 46% of respondents reported a mild impact of the West Asia conflict on their input supply chains, while 21% said they faced severe disruptions; 22% saw moderate disruptions.

Nearly two-third of the businesses surveyed said the conflict hit export orders in March and April. While 37% reported lower export volumes and higher costs and delays in shipments, 19% said there was a decline in order volumes and 16% had stable volumes but paid higher logistics costs or faced delays. Only 21% said there was no significant change in their export business. Interestingly, 7% reported an improvement in orders and execution.

Meanwhile, jittery markets and a fast-depreciating rupee, which temporarily breached the 95-mark against the US dollar on March 30, have also hit operations. As many as 28% respondents reported a net negative impact of the rupee's depreciation on their business, while 12% said it had a mixed impact. However, 53% said it has had no meaningful impact.

Unlike previous years, when companies finalised business plans in March and April for the new fiscal year, the current uncertainties have made them hold on to their investment plans and strategies. As many as 46% said they plan to delay or hold back investments in Q1 and the whole of FY27, while 40% said they have put investments on hold.

On response to the geopolitical risks, 24% respondents said they are actively diversifying suppliers and markets, and 19% said they are exploring diversification. Meanwhile, 31% said they are not looking at any change for now and 26% said they have not been impacted.

The government has been working on a number of relief measures and officials underline that there is adequate fiscal space for more measures, when needed. It is also working to restore supplies of crude oil and natural gas as well as fertilisers and other petrochemicals; it is talking to several countries for purchases to ensure production returns to normal.

Experts are hopeful that this pall of gloom will lift over the next few quarters, especially once the festive season kicks in. "While business confidence is down now due to the uncertainties of the war, it is likely to improve in the coming quarters as supplies improve and businesses go back to full production," says Sabnavis, but warns that inflation will remain a concern.

But as both the finance minister and the RBI Governor have underlined, the Indian economy's fundamentals remain strong. Businesses will certainly hope that the remaining 11 months of the fiscal bring some respite. **BT**

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